

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the
Interstate Transmission System

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Docket No. RM26-4-000

COMMENTS OF VISTRA CORP.

Pursuant to the Federal Energy Regulatory Commission’s (“Commission”), October 27, 2025, notice in the above-captioned proceeding, Vistra Corp. (“Vistra”) hereby respectfully submits these comments on the Secretary of Energy’s letter regarding the interconnection of large loads and the accompanying Advanced Notice of Proposed Rulemaking proposal (“DOE ANOPR Proposal”).

I. INTRODUCTION

The proposal in Secretary Wright’s letter is an idea whose time has come. And not a moment too soon. The world is facing a historic inflection point as artificial intelligence (“AI”), machine learning, and other advanced computing applications are poised to transform the economic landscape and shape the future of the global economy. In much the same way that the proliferation of steam engines drove the industrial revolution, data centers and other digital infrastructure will drive this next transformational period. But data centers require electricity, and our ability to develop the infrastructure needed to lead the world is being hindered by slow-moving and unsettled regulatory processes that stymie the deployment of the necessary digital infrastructure. Secretary Wright’s letter provides the roadmap the nation needs to break that

logjam and unlock that digital infrastructure to ensure that the United States's computing prowess remains world leading.

That is why Secretary Wright is entirely correct that the “timely, orderly, and non-discriminatory” interconnection of large loads, including data centers, to the transmission system is critical to ensuring American prosperity as well as the affordability, reliability, and security of our electric system.¹ Access to power is becoming the limiting element for data center development. The national security implications of his proposal are equally stark given that, as he has previously observed, the development of AI capabilities supported by data centers and other digital infrastructure represents a national security imperative that is nothing less than the “next Manhattan project.”² Those conclusions flow inexorably from the President’s observation this past summer that we are competing with China and other nations in a “race to achieve global dominance in artificial intelligence,” with the winner securing the ability to “set global AI standards and reap broad economic and military benefits.”³ This proceeding has the potential to help win that race.

Secretary Wright is similarly correct that “the interconnection of large loads directly to the interstate transmission system to access the transmission system and the electricity transmitted over it falls squarely within the Commission's jurisdiction.”⁴ His conclusion is consistent with the

¹ *Interconnection of Large Loads to the Interstate Transmission System*, Letter of Dep’t of Energy Sec. Christopher Wright, Docket No. RM26-4-000, at 1 (filed Oct. 23, 2025) (“Sec. Wright Ltr.”).

² U.S. Department of Energy, *DOE Announces Site Selection for AI Data Center and Energy Infrastructure Development on Federal Lands* (July 24, 2025), <https://www.energy.gov/articles/doe-announces-site-selection-ai-data-center-and-energy-infrastructure-development-federal>.

³ Executive Office of the President, *Winning the Race: America’s AI Action Plan* 1 (July 23, 2025), <https://www.whitehouse.gov/wp-content/uploads/2025/07/Americas-AI-Action-Plan.pdf>.

⁴ Sec. Wright Ltr. at 1.

plain text of the Federal Power Act (“FPA”) and well-established precedent of both the U.S. Supreme Court and the Commission itself. The legal basis for reform is ironclad.

And while the jurisdictional lines are clear, many of the economic, technical, and policy considerations are complex. Therefore, in order to maximize the good that this proceeding can do, we urge the Commission to prioritize those issues on which it can most immediately make meaningful progress, both in terms of the clarity that the Commission can provide and the infrastructure investment that it can unlock. To do so, the Commission should begin by acting in the multiple long-pending dockets with well-developed evidentiary records. Doing so would immediately resolve the regulatory uncertainty that has crippled the industry for the past 18 months.⁵ After that, the Commission can act on the multiple important issues presented in Secretary Wright’s letter, prioritizing those with the most straightforward reforms and most immediate impact.⁶

- First, the Commission should issue—as soon as possible—unequivocal determinations (either in Docket No. EL25-49 *et al.*, other pending docket(s), or in this docket) that provide immediate clarity on how existing rules should be applied while the Commission works to implement reforms in this proceeding. Doing so will help ensure that this important proceeding does not become a roadblock to concluding the commercial arrangements needed to unlock investment. In particular, the Commission should make clear:

⁵ In particular, while there are pending proceedings focused on PJM, the Commission’s inaction has engendered uncertainty nationwide, delaying the addition of load behind-the-meter at an existing generating facility until associated policy issues are resolved. Vistra urges the Commission to act in these pending proceedings as quickly as possible to eliminate the regulatory and market uncertainty that has loomed over the industry for far too long and ultimately necessitated Secretary Wright’s letter. Recognizing that Secretary Wright’s letter diagnoses a *national* problem, but those other pending dockets do not involve nationwide rules, if the Commission wishes to provide nationwide policy guidance it could choose to incorporate generic policy language in those open proceedings or issue a policy statement in addition to acting in those pending dockets.

⁶ The Commission successfully took this approach in the ANOPR filed in Docket No. RM21-17-000. That ANOPR addressed a wide range of topics, which were split into multiple proceedings, ultimately resulting in Order Nos. 1920 and 2023.

- a. The co-location of large loads with existing generation resources is permissible under existing rules, including generator modification rules,⁷ and the “necessary study” process.⁸
 - b. Cost causation principles require that the parties to such an arrangement fund any necessary network upgrades, and the transmission service that facilitates these arrangements be based on actual use of the transmission system based on their net load.
 - c. Transmission providers must continue to apply the rate on file and permit such arrangements to move forward under existing rules. The Commission should ensure that studies begun under a particular set of rules do not need to be restarted should those rules change or new rules be adopted.
 - d. Commercial agreements entered into under rules in effect now will not be upended by reforms adopted in the future.
 - e. Transmission-level load interconnections are Commission-jurisdictional (yet, as described below, the states retain significant authority over large loads, including over the terms of retail service).
- Second, the Commission should establish nationwide rules governing interconnection arrangements involving new generation resources and co-located loads.⁹ Unlike configurations in which co-located load is added to an *existing* generator’s interconnection, there are currently no rules governing the interconnection of new co-located generation and load that seek to interconnect to the transmission system. Thus, new *pro forma* tariff language will be necessary to effectuate the coordinated study of new load co-located with *new* generation. That should be the first set of reforms the Commission proposes in this rulemaking proceeding. This is the appropriate place to start the reform effort because (1) the Commission has a long history of regulating generator interconnection, and (2) as explained in the DOE ANOPR Proposal, co-locating load and generation facilitates efficient siting and can minimize the need for costly network upgrades.¹⁰ Eventually, the processes used to interconnect new generation resources and co-located loads may be an appropriate process to effectuate

⁷ The *pro forma* Large Generator Interconnection Agreement (“LGIA”) contains provisions regarding modifications to existing generator interconnections. See *pro forma* LGIA § 5.19. Many RTO tariffs incorporate these provisions. See, e.g., Midcontinent Independent Sys. Operator, FERC Electric Tariff, attach. X (Generator Interconnection Procedures), app. 6 (Generator Interconnection Agreement) (108.0.0), § 5.19.

⁸ The necessary study process is described in PJM’s Tariff. We use the phrase “necessary study” to refer specifically to that existing PJM process.

⁹ While the DOE ANOPR Proposal uses the term “hybrid facility” to refer to loads that share a point of interconnection with a generation facility, the Commission has used the term “hybrid” to describe generators with two generating technologies. Compare *Interconnection of Large Loads to the Interstate Transmission System*, Proposed Advanced Notice of Proposed Rulemaking, Docket No. RM26-4-000, at 9 (filed Oct. 23, 2025) (“DOE ANOPR Proposal”), with FERC, *Hybrid Resources White Paper* 3-5 (May 2021), <https://www.ferc.gov/sites/default/files/2021-05/white-paper-hybrid-resources.pdf>. To the extent that the Commission creates tariff language governing configurations in which a load shares a point of interconnection with a generation facility, we recommend the Commission create a new and unambiguous term to describe such arrangements.

¹⁰ DOE ANOPR Proposal at P 20.

the interconnection of co-located loads with existing resources. To explore this possibility, the Commission should consider the facility modification rules that apply after a co-located load and generation facility are interconnected, and whether those new facility modification rules for interconnected co-located facilities should also apply to modifications of an existing generation facility that seeks to add co-located load in the first instance¹¹—or whether the existing generating facility modification rules should instead continue to govern the addition of new co-located load to an existing generating facility.

- Third, the Commission should exercise its jurisdiction to establish new transmission-level load interconnection procedures for loads that are not co-located with generation resources—*i.e.*, loads that do not share a point of interconnection with a generator. Standalone load interconnections are no less important than other load interconnections, but the associated rules may be more time consuming to develop. The Commission could propose those reforms in this rulemaking docket or establish a separate docket for that purpose, but in any event those reforms should not hold up the above reforms related to co-location. As described below, this step is fully consistent with the Commission’s jurisdiction over transmission. This represents a new application of the Commission’s jurisdiction and the area where it has the least familiarity and experience. As such, Vistra believes it would behoove the Commission to take a more measured approach here and develop the record necessary to ensure that its reforms fully realize the goals and transformative potential of Secretary Wright’s proposal.

Vistra applauds Secretary Wright for his action in initiating this proceeding. In the balance of these comments, Vistra explains why Secretary Wright’s theory of jurisdiction is correct, why it is critical for the Commission to exercise that jurisdiction now, how the Commission should approach the transition to any new reforms it adopts, and how the Commission should approach certain threshold questions implicated by the DOE ANOPR Proposal.

II. JURISDICTION

As Secretary Wright’s proposal makes clear, in promulgating rules for large load interconnection, the “Commission’s jurisdiction should be limited to interconnection directly to

¹¹ However, as noted above, studies begun under existing rules should not be restarted should those rules change, or new rules be adopted.

transmission facilities, consistent with the Commission’s seven-factor test.”¹² It is critical to address at the outset the extent to which this jurisdictional theory is indeed “limited” and properly respects the scope of state authority. States exercise significant authority to regulate crucial aspects of large loads, such as the terms and conditions of retail sales to large loads,¹³ siting new generation facilities to serve large loads, and load interconnections to the distribution system.¹⁴ This proceeding will not shrink any of those critical functions, which are properly regulated at the state level. Rather, the Commission, for its part, would only regulate the interconnection to the transmission system, which falls within the plenary transmission jurisdiction that the FPA reserves for the Commission. Given the regulatory uncertainty that has crippled the industry for the last 18 months, a clear statement from the Commission to unequivocally exert jurisdiction over transmission-level load interconnections will provide needed certainty to the markets and states. This task is all the more pressing given that there is no doubt as to where jurisdiction over transmission-level load interconnection lies.

The interconnection of retail loads to the transmission system is within the Commission’s exclusive jurisdiction under sections 201, 205, and 206 of the FPA.¹⁵ Those provisions vest the Commission with jurisdiction over wholesale sales of electricity in interstate commerce and the transmission of electricity in interstate commerce.¹⁶ That jurisdiction extends to “[a]ll rates and

¹² DOE ANOPR Proposal at P 18.

¹³ These terms and conditions include minimum monthly charges, minimum demand charges, minimum contract term, collateral requirements based on the total minimum charges for the length of the contract, load ramp schedules, and mechanisms to reduce contract capacity or transfer it to another customer.

¹⁴ *See id.* (explaining that, by confining the Commission’s jurisdictional determination to transmission-level load interconnections, the Commission will “avoid *even arguably* affecting the States’ jurisdiction over generation facilities, facilities used in local distribution or only for the transmission of electric energy in intrastate commerce, or transmissions consumed by the transmitter”).

¹⁵ 16 U.S.C. §§ 824(b)(1), 824d, 824e.

¹⁶ *See* 16 U.S.C. § 824(b)(1).

charges made, demanded, or received by any public utility for or in connection with” interstate transmissions or wholesale sales, along with “all rules and regulations affecting or pertaining to such rates or charges.”¹⁷

The Commission’s jurisdiction over the transmission of electricity in interstate commerce is broader than its jurisdiction with respect to wholesale sales of electricity.¹⁸ Congress gave the Commission “jurisdiction over all facilities for [the] transmission or sale of electric energy” with the exception of “facilities used for the generation of electric energy or over facilities used in local distribution or only for the transmission of electric energy in intrastate commerce, or over facilities for the transmission of electric energy consumed wholly by the transmitter.”¹⁹ By contrast, Congress expressly reserved to the states jurisdiction “over facilities used for the generation of electric energy.”²⁰ Accordingly, the Commission’s jurisdiction with respect to the transmission of electricity extends to the rates, charges, and practices affecting such sales *and* the transmission facilities themselves, whereas with respect to the wholesale sale of electricity, the Commission’s jurisdiction extends to rates, charges, and practices affecting such sales *but not* to the generation facilities themselves. As the U.S. Supreme Court has observed, the FPA limits the Commission’s jurisdiction over sales of electricity to wholesale sales (i.e., sales for resale), but it does *not* limit the Commission’s jurisdiction over the transmission of electricity to the transmission necessary to

¹⁷ *FERC v. Elec. Power Supply Ass’n*, 577 U.S. 260, 266 (2016) (citing 16 U.S.C. § 824d(a)) (“*EPSA*”).

¹⁸ *See S.C. Pub. Serv. Auth. v. FERC*, 762 F.3d 41, 63 (2014) (finding that the Commission could assert authority over transmission planning matters via Order No. 1000, notwithstanding petitioners’ contentions that the Commission had intruded on the states’ authority over siting and construction of transmission facilities, in part because the Commission’s transmission planning mandate related “wholly to electricity transmission, as opposed to electricity sales,” and therefore “involve[d] a subject matter over which the Commission has relatively broader authority”).

¹⁹ 16 U.S.C. § 824(b)(1).

²⁰ *Id.* As discussed below, states have significant authority over large loads. *See infra* section III.

effectuate such sales.²¹ Rather, the Commission’s jurisdiction extends to all transmissions of electricity in interstate commerce, provided only that the transmitted electricity is not consumed wholly by the transmitter.²²

The interconnection of large loads, such as data centers, to the interstate transmission system falls squarely within the Commission’s jurisdiction over the transmission of electricity. To understand why, it helps to recall what a transmission-level interconnection necessarily entails, and, as with Justice Kagan’s description of wholesale demand response in *EPSA*, we ask that you “forgive the coming italics.”²³ First, one must determine that the interconnection is to the *transmission* system. That typically will be an easy call, either because the large load will interconnect with existing facilities that have already been determined to be elements of the interstate transmission system or because high voltage, transmission-level facilities are, as a matter of physics, the only option for serving the large load at issue.²⁴ The load would then submit an interconnection request, which would need to be studied by either the owner of the relevant *transmission* facilities or, as the case may be, the operator of those facilities, e.g., the *transmission* organization,²⁵ which would then study the effects of the interconnection on the *transmission*

²¹ *New York v. FERC*, 535 U.S. 1, 17 (2002) (“There is no language in the [FPA] limiting FERC’s *transmission* jurisdiction to the wholesale market, although the statute does limit FERC’s *sale* jurisdiction to that at wholesale.” (citing 16 U.S.C. § 824(b))).

²² See 16 U.S.C. § 824(b)(1).

²³ *EPSA*, 577 U.S. at 282.

²⁴ To the extent that the local distribution facilities under state jurisdiction factor into the determination at all, it is necessarily only through the determination that the distribution system represents an inferior, or perhaps inadequate, option for interconnection relative to the *transmission* system. As Secretary Wright explains, “[a]ny large load that seeks to interconnect to the transmission system does so to obtain transmission service and the appurtenant benefits as such,” which include “open and non-discriminatory access to capacity, energy, and ancillary services.” DOE ANOPR Proposal at P 16 & n.36.

²⁵ 16 U.S.C. § 824o(a)(6) (defining “transmission organization” as “a Regional Transmission Organization, Independent System Operator, independent transmission provider, or other transmission organization finally approved by the Commission for the operation of transmission facilities”).

system. Depending on the results of that study, the large load would then physically interconnect to the *transmission* system either outright or after the development of any necessary upgrades to the *transmission* system—i.e., new or expanded *transmission* facilities. Pursuant to the principles articulated in Secretary Wright’s proposal, which are intended to ensure efficient, timely, and non-discriminatory load interconnections,²⁶ as well as the cost causation principle under the FPA,²⁷ the costs of those new or expanded *transmission* facilities would be recovered from the large load, resulting in itself a rate, a charge in connection with, or a practice directly affecting the *transmission* system.

With that in mind, it is easy to see why the Commission has long held that the most analogous situation—the interconnection of generators to the transmission system—is “an essential element” of Commission-jurisdictional transmission service,²⁸ a conclusion that the Commission recently reaffirmed in Order No. 2023.²⁹ In making that characterization in the context of transmission-level generator interconnection, the Commission notably did not base its

²⁶ Sec. Wright Ltr. at 2.

²⁷ See e.g., *Ariz. Pub. Serv. Co.*, 184 FERC ¶ 61,188, at P 55 n.102 (2023) (“The cost causation principle requires that ‘all approved rates reflect to some degree the costs actually caused by the customer who must pay them’ and that costs ‘be allocated to those who cause the costs to be incurred and reap the resulting benefits.’” (citing *K N Energy, Inc. v. FERC*, 968 F.2d 1295, 1300 (D.C. Cir. 1992) (“*K N Energy*”))); see also *K N Energy* at 1300 (explaining that the cost causation principle is a component of ensuring just and reasonable rates); *Southwest Power Pool, Inc.*, 131 FERC ¶ 61,252, at P 67 (2010) (explaining that the costs allocated to a beneficiary must be “at least roughly commensurate” with the expected benefits to that entity (citing *Ill. Com. Comm’n*, 576 F.3d 470, 476-77 (7th Cir. 2009))).

²⁸ See, e.g., *Tenn. Power Co.*, 90 FERC ¶ 61,238, at 61,761 (“Interconnection is an element of transmission service and is already required to be provided under our *pro forma* tariff.”), *order denying reh’g*, 91 FERC ¶ 61,271 (2000); *Standardization of Generator Interconnection Agreements & Procs.*, Order No. 2003, 104 FERC ¶ 61,103 (2003), *order on reh’g*, Order No. 2003-A, 106 FERC ¶ 61,220, at P 698, *order on reh’g*, Order No. 2003-B, 109 FERC ¶ 61,287 (2004), *order on reh’g*, Order No. 2003-C, 111 FERC ¶ 61,401 (2005), *aff’d sub nom. Nat’l Ass’n of Regul. Util. Comm’rs v. FERC*, 475 F.3d 1277 (D.C. Cir. 2007).

²⁹ *Improvements to Generator Interconnection Procs. & Agreements*, Order No. 2023, 184 FERC ¶ 61,054, at P 11 (reiterating Order No. 2003 findings about interconnection service), *order on reh’g*, 185 FERC ¶ 61,063 (2023), *order on reh’g*, Order No. 2023-A, 186 FERC ¶ 61,199, *errata notice*, 188 FERC ¶ 61,134 (2024); see also *Reform of Generator Interconnection Procs. & Agreements*, Order No. 845, 163 FERC ¶ 61,043, at P 10 (2018), *errata notice*, 167 FERC ¶ 61,123, *order on reh’g*, Order No. 845-A, 166 FERC ¶ 61,137, *errata notice*, 167 FERC ¶ 61,124, *order on reh’g*, Order No. 845-B, 168 FERC ¶ 61,092 (2019).

conclusion on the purpose of the interconnection—(i.e., to facilitate a wholesale sale)—but rather on the fact that the interconnection itself is *part* of open access transmission service.³⁰ Nor did it conclude that the actual flow of electricity was a prerequisite or predicate necessary for the Commission’s exercise of its transmission jurisdiction. Indeed, even before Order No. 2003, it recognized that “[i]nterconnection by itself conveys no right to delivery service,”³¹ and the Commission’s *pro forma* LGIA, first established pursuant to Order No. 2003, makes clear that the interconnection service provided under the LGIA does not provide a right to transmission service, which must be procured separately from the transmission owner.³²

The interconnection to the transmission system of a generator or a large load present the same fundamental considerations. Before load or generator can utilize the transmission system it must interconnect to it, which requires the construction of new transmission facilities—both interconnection facilities and network upgrades—which implicates the Commission’s authority over transmission rates and transmission facilities themselves. Interconnection procedures for both loads and generators determine how those interconnection facilities and network upgrades are identified, developed, paid for, and used. If the Commission does not regulate interconnection

³⁰ See, e.g., Order No. 2003, 104 FERC ¶ 61,103 at P 12; see also *PJM Interconnection, L.L.C.*, 190 FERC ¶ 61,115, at P 72 (2025) (“Show Cause Order”). Indeed, the Commission only considered the purpose of the interconnection (i.e., whether it would facilitate a wholesale sale) in the context of determining whether to assert jurisdiction over interconnections to distribution facilities or dual-use facilities. See Order No. 2003-A, 106 FERC ¶ 61,220 at PP 710, 730.

³¹ *Tenn. Power Co.*, 90 FERC ¶ 61,238 at 61,761.

³² See Order No. 2003, 104 FERC ¶ 61,103 at P 118 (“The Commission continues to treat interconnection and delivery as separate aspects of transmission service, and an Interconnection Customer may request Interconnection Service separately from transmission service (delivery of the Generating Facility’s power output.”)). That remains true of the *pro forma* LGIA more than today, more than 20 years later. Order No. 2023-A, 186 FERC ¶ 61,199, app. C (Changes to the *pro forma* Large Generator Interconnection Procedures), app. 5 (Standard Large Generator Interconnection Agreement), § 4.4 (“The execution of this LGIA does not constitute a request for, nor the provision of, any transmission delivery service under Transmission Provider’s Tariff, and does not convey any right to deliver electricity to any specific customer or Point of Delivery.”).

in the first place, it cannot fulfill its obligations under FPA sections 205 and 206 to ensure that the allocation of costs for these transmission facilities is just and reasonable and not unduly discriminatory or preferential.

Finally, a contrary conclusion would produce exactly the sort of regulatory gap that the Supreme Court in *EPSA* concluded does not exist under the FPA.³³ Transmission-level load interconnection cannot fall within the states' ambit. If it did, loads that interconnect to the *transmission system* would do so under state-jurisdictional tariffs and state public utility commissions would be left to determine, for example, how transmission-level interconnection facilities and network upgrades are studied, selected, and funded. That would plainly infringe upon the Commission's plenary transmission jurisdiction.³⁴ And given this ineluctable fact, transmission-level load interconnection must be within the Commission's jurisdiction, otherwise it would fall into a "limbo area[] unregulated by federal or state authorities."³⁵

Even if the Commission does not find that transmission-level load interconnection is an essential element of transmission service itself, it is clearly a practice that directly affects transmission rates, which provides the Commission with an independent rationale to exert jurisdiction. In *EPSA*, the U.S. Supreme Court articulated a two-step test for assessing the scope

³³ *EPSA*, 577 U.S. at 289 (explaining that the Congress designed the FPA to eliminate a regulatory gap in favor of a jurisdictional framework where state and federal powers would be "complementary" and "comprehensive" (quoting *FPC v. Louisiana Power & Light Co.*, 406 U.S. 621, 631 (1972))); *see also* Matthew R. Christiansen & Joshua C. Macey, *Long Live the Federal Power Act's Bright Line*, 134 Harv. L. Rev. 1360, 1405-06 (2021) (explaining that the existence of regulatory gaps, wherein neither sovereign can fully carry out its responsibilities under the FPA, "would undermine the core objective of the FPA, which was to address the regulatory gap that the Supreme Court created when it held that states could not regulate interstate wholesale sales" (citing *EPSA*, 577 U.S. at 266) (citing *Pub. Utils. Comm'n v. Attleboro Steam & Elec. Co.*, 273 U.S. 83, 89-90 (1927))).

³⁴ *See* 16 U.S.C. § 824(b)(1); *see also* *Miss. Power & Light Co. v. Mississippi ex rel. Moore*, 487 U.S. 354, 377 (1988) (Scalia, J., concurring in the judgment) ("It is common ground that if FERC has jurisdiction over a subject, the States cannot have jurisdiction over the same subject.").

³⁵ Christiansen & Macey, *supra* note 33 at 1404.

of the Commission’s jurisdiction over practices directly affecting rates and charges otherwise within its jurisdiction. The first step of the *EPSA* test asks whether the Commission’s action “directly affects” a matter within its jurisdiction (e.g., wholesale or transmission rates). At the second step, the *EPSA* analysis evaluates whether the Commission’s action directly regulates matters within the states’ exclusive jurisdiction; if it would, such action is impermissible, as the Commission cannot take an action that would impede on an area reserved to states “no matter how direct, or dramatic, its impact on wholesale rates.”³⁶

Large load interconnection procedures easily satisfy both prongs of the *EPSA* two-step inquiry.³⁷ First, just as in *EPSA* where the demand response rules, particularly the formula for compensating demand response,³⁸ would necessarily and directly affect wholesale electricity prices, large load interconnection procedures that allocate the costs of network upgrades will necessarily and directly affect transmission rates. And because the large load interconnection procedures affect transmission facilities, which are themselves within the Commission’s authority to regulate, the Commission has an additional jurisdictional hook here that was not available in *EPSA*. As such, transmission-level load interconnections present an even more compelling case for Commission jurisdiction than the wholesale demand response rules in *EPSA*.

³⁶ *EPSA*, 577 U.S. at 279-80.

³⁷ *See id.* (explaining that the Court’s conclusion that the regulation at issue would directly affect wholesale prices “d[id] not end [the Court’s] inquiry into the Commission’s statutory authority” because the Court also had to “determine that [the regulation] d[id] not regulate *retail* electricity sales”); Christiansen & Macey, *supra* note 33 at 1369-70 (explaining that a dispute involving Commission and the FPA’s jurisdictional line can be resolved by answering two questions: (1) whether an action directly regulates a matter over which the Commission has jurisdiction; and (2) whether the action aims at or targets a matter that is within the state’s exclusive jurisdiction to resolve).

³⁸ *See EPSA*, 577 U.S. at 279 (“Wholesale demand response, in short, is all about reducing wholesale rates; so too, then, the rules and practices that determine how those programs operate. And that is particularly true of the formula that operators use to compensate demand response providers.”).

As to the second prong of the *EPSA* analysis, while the procedures governing transmission-level load interconnection might have a significant, albeit indirect, effect on retail sales, that “is of no legal consequence” to the jurisdictional analysis. That is because the FPA does not create “hermetically sealed” spheres of state and federal jurisdiction.³⁹ Rather, the rates and other actions within the Commission’s sphere of exclusive jurisdiction have “natural consequences” within the states’ sphere of jurisdiction.⁴⁰ “And so too, of necessity, will FERC’s regulation of those wholesale matters.”⁴¹

Loper Bright Enterprises v. Raimondo does not affect the jurisdictional analysis under either *EPSA* or *New York v. FERC*.⁴² *EPSA* explicitly disclaimed reliance on *Chevron* deference, stating that FERC’s authority is “clear.”⁴³ In *New York v. FERC*, the Court described the FPA’s broad grant of authority over transmission jurisdiction as “clear statutory language,” and *Chevron* was relevant only to the Court’s narrower review of the Commission’s policy decision to refrain from exerting jurisdiction over a particular type of transaction.⁴⁴ Accordingly, if anything, it is the Commission’s decision in Order No. 888 not to assert a broader theory of jurisdiction that is rendered vulnerable by *Loper Bright*.

Some commenters will argue that the theory of jurisdiction advanced in Secretary Wright’s letter, and defended in these comments, somehow diminishes the role of the states or impinges on state jurisdiction. It does not. As discussed below, states will continue to play a critical role in regulating the rates, terms, and conditions of data centers’ consumption of electricity. That is

³⁹ *EPSA*, 577 U.S. at 281.

⁴⁰ *Id.*

⁴¹ *Id.* (citing *Oneok, Inc. v. Learjet, Inc.*, 575 U.S. 373, 387 (2015)).

⁴² *Loper Bright Enters. v. Raimondo*, 603 U.S. 369 (2024).

⁴³ *EPSA*, 577 U.S. at 277 n.5 (citing *Chevron, U.S.A., Inc. v. NRDC, Inc.*, 467 U.S. 837 (1984)).

⁴⁴ *New York v. FERC*, 535 U.S. at 15-17, 28.

because the conclusion that the transmission-level interconnection of large loads must necessarily be regulated by FERC does not imply any diminution of state authority in the areas that the FPA reserves for state jurisdiction.

Most obviously, states retain exclusive jurisdiction over the retail sale of electricity. Indeed, just last month, the Commission expressly reaffirmed that conclusion in rejecting a large load integration tariff filed by Tri-State Generation and Transmission Association, Inc (“Tri-State”).⁴⁵ In that proceeding, Tri-State had proposed to require its member utilities to enter into contracts with retail large load customers that set requirements for the terms of energy sales from those member utilities to their retail customers (i.e., the terms of a retail sale).⁴⁶ As the Commission’s conclusion makes clear, the actual rates for the retail sale of electricity as well as attendant provisions related to the retail sale, such as take-or-pay clauses for electric service, limits on retail customers’ energy or demand, or minimum retail contract terms, are and must remain subject to exclusive state jurisdiction. Similarly, state franchise laws, which dictate which entities are permitted to make retail sales, would be undisturbed by the Commission asserting jurisdiction over the interconnection of large loads. And the *pro forma* OATT already reflects that end use customers are only eligible to take unbundled retail transmission service pursuant to state law or the voluntary offer of such service.⁴⁷

⁴⁵ See *Tri-State Generation and Transmission Association, Inc.*, 193 FERC ¶ 61,070 (2025).

⁴⁶ Specifically, Tri-State’s proposal would mandate that the contract between the member utility and its retail customer include: (1) certain minimum load and energy requirements for retail purchases by the large load retail customer from the member utility; and (2) provisions that the large load retail customer not exceed monthly caps for retail energy or demand. *Id.* P 49.

⁴⁷ Specifically, in defining “eligible customer,” section 1.12 of the *pro forma* OATT explains:

[W]ith respect to transmission service that the Commission is prohibited from ordering by Section 212(h) of the Federal Power Act, such entity is eligible only

To see this point in practice, consider the recently enacted Ohio Data Center tariff, an analysis of which is attached here as Exhibit A. The Ohio Data Center tariff provides the rates, terms, and conditions of the retail sale of energy, including minimum monthly charges, minimum demand charges, minimum contract term, collateral requirements based on the total minimum charges for the length of the contract, load ramp schedules, and mechanisms to reduce contract capacity or transfer it to another customer.⁴⁸ Commission-jurisdictional transmission-level load interconnection procedures would leave all of those elements in place.⁴⁹ Instead, they would impact only a small handful of provisions in the Data Center Tariff,⁵⁰ along with the “process for signing up new schedule DCT customers,” which is not described in the tariff at all, and only appears in high-level joint stipulations filed with the Ohio PUC.⁵¹

In any case, not all data centers will interconnect to the transmission system. States retain jurisdiction over any interconnections to the distribution system. And even where data centers connect at a transmission-level voltage, that interconnection will not be federally regulated where the transmission system is not in interstate commerce or where the energy is “consumed wholly

if the service is provided pursuant to a state requirement that the Transmission Provider offer the unbundled transmission service, or pursuant to a voluntary offer of such service by the Transmission Provider . . . Any retail customer taking unbundled transmission service pursuant to a state requirement that the Transmission Provider offer the transmission service, or pursuant to a voluntary offer of such service by the Transmission Provider, is an Eligible Customer under the Tariff.

⁴⁸ *Ohio Power Company*, Case No. 24-508-EL-RDR, Revised Tariff Pages (filed Jul. 11, 2025), <https://dis.puc.state.oh.us/ViewImage.aspx?CMID=A1001001A25G11B21315A00184>.

⁴⁹ Vistra’s analysis of AEP Ohio’s Data Center Tariff is based on Vistra’s understanding of that tariff and current FERC regulations, policy, and precedent. It is possible that other aspects of the AEP Ohio Data Center Tariff could be applied in ways that intrude on or interfere with FERC-jurisdictional requirements, including NERC reliability standards.

⁵⁰ See Exhibit A.

⁵¹ *Ohio Power Company*, Case No. 24-508-EL-ATA, Joint Stipulation and Recommendation, at 8-10 (filed Oct. 23, 2024), <https://dis.puc.state.oh.us/ViewImage.aspx?CMID=A1001001A24J23B55758I01206>.

by the transmitter.” Consider, for instance, the interconnection of a load located behind a transmission-level point of interconnection in a behind-the-meter configuration. If system protections ensure that load is *not* served from the grid, then while the interconnection between the generator and the grid involves interstate transmission facilities subject to the Commission’s jurisdiction, the interconnection between the generator and the load would rely on either intrastate transmission facilities or distribution facilities, which would be subject to state jurisdiction.⁵² Simply put, the states will continue to play an essential role in regulating data center development and the impacts such development has on end-use customers in particular.

Some commenters may point to the fact that some transmission-level load interconnections have taken place under state-regulated tariffs as evidence that such interconnections have been “subject to regulation by the states” and, thus, the argument goes, such interconnections must be excluded from FERC regulation under section 201(a) of the FPA. But, as the U.S. Supreme Court has “often explained,” this “declaration of policy” in FPA section 201(a) “serves only to frame the [FPA’s] basic structure and purpose,” meaning that it “merely points toward the division of authority that [section 201(b)] carries out.”⁵³ Because transmission-level interconnection falls clearly within the Commission’s jurisdiction under the best—and, indeed, only reasonable—reading of FPA sections 201(b), 205, and 206,⁵⁴ any such historical practice does not compel a contrary conclusion.

In any case, even if historical practice were relevant to the jurisdictional inquiry at hand, it would not cut against Commission jurisdiction here. When determining what matters are

⁵² 16 U.S.C. § 824(b)(1); *see also* DOE ANOPR Proposal at P 2; Show Cause Order at PP 68, 71.

⁵³ *EPSA*, 577 U.S. at 280 n.6.

⁵⁴ *See Loper Bright Enters. v. Raimondo*, 603 U.S. at 400.

“subject to regulation by the States,” the Supreme Court has examined what the states regulated in 1935, when Congress enacted the FPA.⁵⁵ We are unaware of any evidence that *transmission-level* interconnection of a retail load existed in 1935 or that the states regulated such interconnections. Without such evidence, the fact that states have exerted authority in this area in the years *after* 1935 is of no moment (and that is particularly true of recent evidence regarding data centers, which emerged only many decades after 1935).

Some commenters may also contend that Commission-jurisdictional load interconnection procedures would run afoul of FPA section 212(h)’s prohibition on retail wheeling. That too is incorrect. FPA section 212(h) provides that “No order issued under this chapter shall be conditioned upon or require the transmission of electric energy: (1) directly to an ultimate consumer, or (2) to, or for the benefit of, an entity if such electric energy would be sold by such entity directly to an ultimate consumer.”⁵⁶ Setting the rates, terms, and conditions of Commission-jurisdictional interconnection service does not amount to an order “conditioned upon or require[ing] the transmission of electric energy.” Although interconnection is an essential *element* of transmission, they are not one and the same.⁵⁷ Interconnection involves the rates, terms, and conditions pursuant to which an entity physically connects to the transmission system while

⁵⁵ See *New York v. FERC*, 535 U.S. at 21 (explaining that unbundled interstate transmission service was not “subject to regulation by the states” under Section 201(a) because “at the time that the FPA was enacted,” it did not exist).

⁵⁶ 16 U.S.C. § 824k(h).

⁵⁷ See *THSI bn, LLC*, 185 FERC ¶ 61,032, at P 60 (2023) (finding that FPA section 212(h) did not bar a request for ordered interconnection service because “section 212(h) only applies to transmission orders, not requests for interconnection” (citing *Pac. Gas & Elec. Co. v. FERC*, 44 Fed. App’x. 170 (9th Cir. 2002))); see also *Laguna Irrigation Dist.*, 95 FERC ¶ 61,305, at 62,038 (2001) (“[W]e also conclude that section 212(h) is not violated because we did not order ‘transmission of electric energy’ as that term is used in section 212(h), and its provisions, taken together, indicate an intent to preclude Commission orders requiring the delivery of energy either directly to retail customers, or indirectly to retail customers under certain circumstances. We did not do that here. We ordered only an interconnection.”).

transmission service involves the actual provision of electric energy. Just as turning on a car is a necessary element of driving it, but does not actually drive it anywhere, interconnection is a necessary element of transmitting electricity but does not amount to the transmission of electricity itself. Here again, that is the best and only reasonable reading of the statutory text.⁵⁸

That interpretation is consistent with well-established Commission precedent. On several occasions, the Commission has found that section 212(h) does not limit the Commission's ability to grant requests for interconnection service under section 210(a) because orders requiring the delivery of energy are distinct from orders requiring an interconnection.⁵⁹ Indeed, "common sense" requires such conclusion.⁶⁰ The Commission has also recognized that distinction outside the context of section 212(h). For example, the Commission's *pro forma* LGIA makes clear that interconnection service and transmission service are two distinct products.⁶¹ It would make little sense for the Commission to treat interconnection and transmission service as distinct products, each obtained through its own process and paid for via its own rate, if they were one and the same. The fact that interconnection service and transmission service are two separate products is evidence of the Commission's long-held belief that interconnection service, though an essential element of transmission service, does not amount to "the transmission of electric energy."⁶²

Moreover, FPA section 212(h) *certainly* would not apply if the Commission exerts jurisdiction based on the alternative theory that load interconnection is a practice directly affecting

⁵⁸ See *Loper Bright Enters. v. Raimondo*, 603 U.S. at 400.

⁵⁹ See *THSI bn, LLC*, 185 FERC ¶ 61,032 at P 60; *Laguna Irrigation Dist.*, 95 FERC ¶ 61,305 at 62,038.

⁶⁰ *Pac. Gas & Elec. Co. v. FERC*, 44 Fed. App'x. at 172 (agreeing with the Commission that section 212(h) did not present a barrier to the Commission's interconnection order under section 210(c) after relying on "common sense" as "the ultimate guide").

⁶¹ *Supra* note 32.

⁶² 16 U.S.C. § 824k(h).

the rates, terms, and conditions for transmission service. Under that theory, transmission-level interconnection would not amount to transmission service itself, but would still fall fully within the Commission’s jurisdiction, as wholesale demand response falls fully within the Commission’s exclusive jurisdiction, even though it is quite obviously not a wholesale sale. Either way, the conclusion is the same: the interconnection of large loads to the transmission system is within the Commission’s jurisdiction to regulate.

Finally, although the Commission’s jurisdiction over transmission-level load interconnection is clear, the Commission has discretion in how it exercises that jurisdiction, particularly during any transition period before new tariff language and interconnection procedures are established. Indeed, the Commission has a long history of tailoring the application of its jurisdiction in a way that facilitates cooperative federalism, particularly where the issues at play “lie[] at the confluence of state and federal jurisdiction.”⁶³ For instance, in Order No. 888, the Commission found that the rates, terms, and conditions of unbundled retail transmission service must be filed at the Commission, but explained that where such retail service occurs as part of a state retail access program, it would “defer to state requests for variations from the FERC wholesale tariff to meet those local concerns,” as long as the retail tariff is consistent with open access, comparability principles, and the Commission’s transmission pricing policies.⁶⁴

⁶³ *Demand Response Comp. in Organized Wholesale Energy Mkts.*, Order No. 745, 134 FERC ¶ 61,187, at P 114 (2011), *order on reh’g*, Order No. 745-A, 137 FERC ¶ 61,215 (2011), *reh’g denied*, Order No. 745-B, 138 FERC ¶ 61,148 (2012), *vacated sub nom. Elec. Power Supply Ass’n v. FERC*, 753 F.3d 216 (D.C. Cir. 2014), *rev’d & remanded sub nom. EPSA*, 577 U.S. 260).

⁶⁴ *Promoting Wholesale Competition Through Open Access Non-Discriminatory Transmission Servs. by Public Utils.; Recovery of Stranded Costs by Pub. Utils. and Transmitting Utils.*, Order No. 888, 61 Fed. Reg. 21,540, at 21,625-21,627 (1996), (cross-referenced at FERC Stats. and Regs. ¶ 31,036 (1996)), *order on reh’g*, Order No. 888-A, 62 Fed. Reg. 12,274 (1997), (cross-referenced at FERC Stats. and Regs. ¶ 31,048 (1997)), *order on reh’g*, Order No. 888-B, 81 FERC ¶ 61,248 (1997), *order on reh’g*, Order No. 888-C, 82 FERC ¶ 61,046 (1998), *aff’d*

As noted above, states will continue to play a vital role overseeing the integration of large loads to the power grid, including through their regulation of the rates, terms, and conditions of retail service. This proceeding will present myriad opportunities for the Commission to exercise its jurisdiction in a manner that minimizes jurisdictional friction with the states in pursuit of the end goal: “timely, orderly, and non-discriminatory” interconnection of large loads, including data centers, to the transmission system.⁶⁵

III. NEED FOR REFORM

Winning the global AI race will require enormous investments in digital infrastructure, particularly data centers, and the associated energy infrastructure to supply the necessary electricity. But those investments will be made in the United States if, and only if, the relevant regulatory regime provides the predictability, stability, and durability needed to facilitate such significant outlays of private capital. To date, regulatory uncertainty is at its zenith because the Commission has not acted in its most significant proceedings involving data center development and the one order it did issue raised more questions than it provided answers.⁶⁶ This proceeding—and other pending dockets—provide a chance to fill that regulatory vacuum by replacing opaque or non-existent rules governing transmission-level interconnection procedures with a regulatory regime sufficient to meet the moment. In so doing, the Commission can augment positive developments on the state level, where they exist, with clear rules on the issues that are uniquely

in relevant part sub nom. Transmission Access Pol’y Study Grp. v. FERC, 225 F.3d 667 (D.C. Cir. 2000), *aff’d sub. nom. New York v. FERC*, 535 U.S. 1; *see also* Order No. 888-A, 62 Fed. Reg. 12,274 at 12,371 (explaining that the Commission will consider state jurisdictional recommendations when applying its seven-factor test for determining local distribution facilities); *EPSA*, 577 U.S. at 288 (noting that the Commission’s demand response rule allows any state regulator to opt out of the rule, making “[w]holesale demand response as implemented in the Rule is a program of cooperative federalism”).

⁶⁵ Sec. Wright Ltr. at 1.

⁶⁶ *See* Show Cause Order, 190 FERC ¶ 61,115.

within its jurisdiction to resolve. Below, we explain the need for such reforms, propose certain substantive principles that should animate those reforms, and suggest an outline for how the Commission should implement them.

The lack of rates, terms, and conditions for transmission-level load interconnection has created a vacuum in which utilities are exercising unfettered discretion to determine, among other things, the process by which large loads interconnecting to the transmission system are studied, how to allocate the costs incurred to facilitate those load interconnections, and whether to allow large loads to interconnect to the transmission system *at all*.⁶⁷ This status quo is unjust, unreasonable, and unduly discriminatory and preferential.⁶⁸

Indeed, there is substantial evidence demonstrating that the status quo for transmission-level load interconnections, specifically the lack of rates, terms, and conditions for such interconnections, is unjust, unreasonable, and unduly discriminatory or preferential.⁶⁹ The Commission need not wait for additional systemic problems to arise before it steps in to remedy these issues.⁷⁰ Given the surge of data center development, which is already occurring and set to increase, it is imperative that the Commission act now for at least three reasons.

⁶⁷ See, e.g., *Atl. City Elec. Co.*, Second Motion for Leave and Answer of Constellation Energy Generation, LLC, Docket No. ER24-2888-000, at 2 (filed Nov. 12, 2024) (alleging that “Exelon refuses to review reliability studies and thus blocks interconnection services”).

⁶⁸ See, e.g., Order No. 2023, 184 FERC ¶ 61,054 at P 45 (finding that the existing *pro forma* LGIP, *pro forma* LGIA, *pro forma* SGIP, and *pro forma* SGIA needed to be reformed based on, among other issues, the *lack* of certain information, protocols, and modeling or performance requirements in the generator interconnection process).

⁶⁹ See 16 USC 824e(a); *S.C. Pub. Serv. Auth. v. FERC*, 762 F.3d at 54 (“The Commission’s factual findings are conclusive if supported by substantial evidence.”).

⁷⁰ See, e.g., *Transmission Plan. & Cost Allocation by Transmission Owning & Operating Pub. Utils.*, Order No. 1000, 136 FERC ¶ 61,051, at P 50 (2011), *order on reh’g*, Order No. 1000-A, 139 FERC ¶ 61,132 *order on reh’g & clarification*, Order No. 1000-B, 141 FERC ¶ 61,044 (2012), *aff’d sub nom. S.C. Pub. Serv. Auth. v. FERC*, 762 F.3d 41.

First, the lack of rates, terms, and conditions for transmission-level load interconnection increases the likelihood that transmission rates do not reflect fundamental cost causation principles and are therefore unjust and unreasonable.⁷¹ As discussed, when large loads interconnect to the transmission system, they are likely to cause impacts on the transmission system that trigger the need for network upgrades. But currently, there are no standardized requirements regarding how utilities must study these reliability impacts or allocate the costs of network upgrades.⁷²

Instead, utilities have free reign to determine what network upgrades are needed and how the costs of such network upgrades are allocated, all with minimal or no oversight from the Commission. For example, in the absence of a defined load interconnection process, PJM has indicated that it uses a “Transmission Owner retail load integration study” to identify local upgrades needed to reliably accommodate the load.⁷³ That study, the details of which do not appear to be contained in the PJM OATT or manuals, evaluates transmission system upgrades necessary to connect the load to the grid. These upgrades typically take the form of Supplemental Projects, the costs of which are cost allocated to the local Transmission Owner’s zone pursuant to individual Transmission Owner cost allocation frameworks,⁷⁴ meaning that existing customers may be disproportionately shouldering the costs for interconnecting large loads. Rates that run afoul of

⁷¹ See *Sw. Power Pool, Inc.*, 175 FERC ¶ 63,023, at P 363 (2021) (“Overtime, the Commission and the courts have expanded the just and reasonable standard under Section 205 of the FPA to establish the ‘cost causation principle.’ Cost causation requires that all approved rates reflect the costs caused by the customer who pays them.” (citing *K N Energy*, 968 F.2d 1295, 1300)).

⁷² As discussed more below, the existing necessary study process works well to study configurations in which new load is added to an existing generating facility’s interconnection.

⁷³ *PJM Interconnection, L.L.C.*, Answer of PJM Interconnection, L.L.C., Docket No. EL25-49, at 6-7 (filed Mar. 24, 2025).

⁷⁴ *Id.*; see also *id.* at 17 (explaining that the PJM’s Attachment M-3 Process—i.e., the process for supplemental projects—could be employed if transmission system upgrades were needed to connect the load to the grid in certain co-location configurations); cf. Exelon, *Large Load Forecast Adjustment Methodology* (Jan. 2025), <https://www.pjm.com/-/media/DotCom/planning/res-adeq/load-forecast/exelon-documentation.pdf> (explaining that “M-3 status” is used as a criterion for deciding whether to include a load in Exelon’s large load forecast).

fundamental cost causation principles, along with the ongoing *risk* of unjust and unreasonable rates, provide sufficient basis for action here.⁷⁵

Second, the current lack of standardized study deposits, readiness requirements, and withdrawal penalties increases the prevalence of speculative projects and the related risk that ratepayers will be saddled with costs incurred due to projects that never materialize. It is well known that many interconnection requests are for data centers that will never be built.⁷⁶ Nevertheless, there is currently no consistent approach to or mechanisms for screening out speculative projects. For instance, there are currently no standardized rules regarding how transmission providers conduct load forecasts, which are used for both transmission planning and wholesale market administration.⁷⁷ That vacuum makes it more likely that transmission owners will expend resources studying and building network upgrades for data centers that do not show up. As a result, there is a substantial risk that transmission rates will reflect the costs of “inefficiently sized or designed, duplicative, or unnecessary transmission facilities,”⁷⁸ which is unjust and unreasonable.

Third, under the status quo, and in the absence of a transparent, Commission-approved study process, transmission owners are able to treat large loads, and the generators serving them,

⁷⁵ See *Bldg. for the Future Through Elec. Reg'l Transmission Plan. & Cost Allocation*, Order No. 1920, 187 FERC ¶ 61,068, at P 86 n.189 (“Courts have held that substantial evidence in this context does not necessarily require the Commission to provide empirical evidence for every proposition. Rather, FPA section 206 empowers the Commission to address a mere threat of unjust and unreasonable rates.” (citing *S.C. Pub. Serv. Auth. v. FERC*, 762 F.3d at 64-65, 85)), *order on reh'g*, Order No. 1920-A, 189 FERC ¶ 61,126 (2024), *order on reh'g*, Order No. 1920-B, 191 FERC ¶ 61,026 (2025).

⁷⁶ Brian Martucci, *A fraction of proposed data centers will get built. Utilities are wising up.*, Utility Dive, (May 15, 2025), <https://www.utilitydive.com/news/a-fraction-of-proposed-data-centers-will-get-built-utilities-are-wising-up/748214/>.

⁷⁷ See, e.g., Letter from FERC Chairman David Rosner to the RTOs/ISOs on Large Load Forecasting (Sept. 18, 2025), <https://www.ferc.gov/news-events/news/chairman-rosners-letter-rtosisos-large-load-forecasting> (“Commissioner Rosner Ltr.”).

⁷⁸ See Order No. 1920, 187 FERC ¶ 61,068 at P 1574.

in an unduly discriminatory or preferential manner. Transmission owners that have unregulated generation affiliates or operate in states where large loads have the option to select a competitive supplier have a clear incentive to favor the interconnection of new large loads that agree to take electric service from their affiliated generation. This incentive creates the potential for a textbook example of undue discrimination that must be remedied by a set of national rules that explicitly bar undue discrimination and with on-going compliance checks to ensure those rules are working as designed. There is already substantial evidence of such undue discrimination in the record in ongoing Commission proceedings.⁷⁹

Moreover, the Commission has already recognized that the lack of load interconnection procedures raises the potential for undue discrimination against or preferential treatment for loads depending on whether they are co-located behind or in front of the meter.⁸⁰ And because there is no nationally standardized study process for co-located load facilities and generation resources, incumbent utilities seeking to develop the generation component of co-located facilities can favor their projects over competitors' projects. Given the lack of standard interconnection procedures for these facilities, and the attendant lack of transparency, there is a profound risk for unduly discriminatory or preferential treatment, which the Commission must remedy.

⁷⁹ In the absence of clear Commission guidance, utilities are blocking behind-the-meter co-location deals while favoring load interconnection in front-of-the-meter. *See* Show Cause Order, 190 FERC ¶ 61,115 at P 51 (explaining that there are allegations in the record that “Exelon has actively blocked several Fully Isolated Co-Located Load projects”); *PJM Interconnection, LLC*, Request for Limited Prospective Waiver, Docket No. ER26-313, at 1-2 (filed Oct. 29, 2025) (explaining that the proposed co-located load at the Susquehanna Nuclear facility will now become front-of-the-meter load).

⁸⁰ Show Cause Order, 190 FERC ¶ 61,115 at P 75.

IV. TRANSITION

It is imperative that, in asserting its jurisdiction over transmission-level load interconnections, the Commission also ensure that the process for developing load interconnection procedures in this docket does not slow down existing data center development efforts.⁸¹ When the Commission adopts entirely new *pro forma* procedures, it is critical to avoid “confusion and unnecessary complications.”⁸² The Commission must adopt a transition mechanism that “balances the need to move expeditiously to the new [interconnection] process with the need to respect the investments and expectations of [existing large load] customers at an advanced stage in the existing interconnection process.”⁸³

To that end, as noted above, the Commission should first issue unequivocal determinations, either in this docket or other pending dockets, such as Docket No. EL25-49 *et al.*, to provide immediate clarity on how existing rules should be applied while the Commission pursues additional reforms. Those determinations should:

- Recognize the urgency of the need for powered digital infrastructure, encourage industry to continue developing projects and commercial arrangements under existing rules during the pendency of this proceeding, and clarify that any final rule in this proceeding will contain transition procedures that respect existing commercial arrangements and interconnection studies that are already underway.
- Reiterate that the co-location of large loads with existing generation resources is permissible under existing rules for generation facility modification, including the “necessary study” process.

⁸¹ See DOE ANOPR Proposal at P 30 (explaining that there must be a transition plan and seeking comment on how to treat large loads already being studied).

⁸² Order No. 2003, 104 FERC ¶ 61,103 at P 186.

⁸³ Order No. 2023, 184 FERC ¶ 61,054 at P 856 (citing *Pub. Serv. Co. of Co.*, 169 FERC ¶ 61,182 (2010)).

- Explain that any provisions currently housed in Commission-jurisdictional tariffs remain the filed rate, which transmission providers must continue to implement under the filed rate doctrine.⁸⁴
- Find that cost causation principles require that the parties to such an arrangement fund any necessary network upgrades, and the transmission service that facilitates these arrangements be based on actual use of the transmission system based on their net load.
- Contain a strong assertion of the Commission’s view of its jurisdiction and clarify that transmission-level load interconnections are Commission-jurisdictional.

The Commission can and should promptly issue an order addressing these issues, which would represent a strong signal of Commission support for the ongoing development of AI infrastructure by showing a willingness to enable commercial arrangements between sophisticated buyers and sellers of electricity.

Second, in the final rule, the Commission should also clarify that its new *pro forma* procedures only apply prospectively, consistent with the rule against retroactive ratemaking.⁸⁵ The Commission should propose a transition process that permits customers that are interconnecting under other processes (such as the necessary study process or any applicable state-level process) to choose whether to continue through those processes or under any new procedures that the Commission adopts. The Commission should also clarify that any interconnection agreements or other related filings submitted before the effective date of the final rule in this proceeding will be considered under the ordinary just and reasonable and not unduly discriminatory or preferential

⁸⁴ See *Cargill Power Mkts., LLC v. Pub. Serv. Co.*, 132 FERC ¶ 61,079, at PP 22-23 & n.16 (2010) (explaining that the “rate on file with the Commission is the only lawful rate” and finding that a transmission provider acted unreasonably when it invalidated a transmission service request that complied with its OATT (citation omitted)); see also *Black Hills Power, Inc.*, 136 FERC ¶ 61,088, at P 5 (2011) (explaining that “the filed rate doctrine holds that the only rate that a regulated public utility may legally charge for its services is the one properly submitted to and made effective by the appropriate regulatory authority” and finding that the transmission provider violated its tariff when it charged a different rate for transmission service than the one listed in its OATT (citation omitted)).

⁸⁵ Order No. 1000-A, 139 FERC ¶ 61,132, at P 587 (“Commission rulemakings are prospective in their effect.”); see also 5 U.S.C. § 551(4) (defining “rule” under Administrative Procedure Act as “an agency statement of general or particular applicability and future effect”).

standard and will not be rejected simply for failing to comply with any new *pro forma* procedures that the Commission adopts in this proceeding.

This approach mirrors the Commission's transition process in Order No. 2003, when it first adopted standardized generator interconnection procedures. There, the Commission allowed any interconnection customer with an executed study agreement to choose whether to continue under those existing processes.⁸⁶ The Commission also expressly clarified that any interconnection agreements filed "before the effective date of the final rule will be grandfathered and will not be rejected simply for failing to conform to the Final Rule LGIA."⁸⁷ Together, these measures struck an appropriate balance between adopting new procedures expeditiously without upsetting settled expectations and stranding previously invested capital. The Commission should strike that same balance here.

V. SUBSTANTIVE REFORMS

As discussed above, the reforms discussed in the DOE ANOPR Proposal cover a wide breadth. While there is some progress that the Commission can make quickly through issuance of a policy statement or other guidance, many of the topics will require the Commission to develop extensive new tariff language. Vistra will continue to provide insight on those topics as the record in this proceeding develops. There are, however, a number of issues that either logically flow from the scope of the Commission's jurisdiction or are threshold questions that can be addressed at the outset.

⁸⁶ Order No. 2003, 104 FERC ¶ 61,103 at P 186 ("[I]f an Interconnection Customer has signed an Interconnection Study Agreement as of the effective date of the Final Rule, the Interconnection Customer will have the option to either continue with the rest of its Interconnection Studies under the Transmission Provider's existing study process or complete those remaining studies for which it does not have a signed Interconnection Study Agreement under the Final Rule LGIP.")

⁸⁷ *Id.* P 187.

A. Any New Interconnection Procedures Must Apply Specifically to Interconnections to the Transmission System

The Commission must structure its reforms in a manner that is consistent with the jurisdictional lines established in the FPA. As explained above, the Commission’s authority to act in this arena is based on its jurisdiction over the transmission system. That statutory authority controls how any large load interconnection procedures could be structured.

The DOE ANOPR Proposal correctly identified this dynamic in explaining that the Commission’s load interconnection reforms should only apply where the load will interconnect directly to transmission facilities, consistent with the Commission’s seven-factor test.⁸⁸ Although the Commission’s *pro forma* generator interconnection procedures apply, in certain instances, to interconnections to distribution facilities—such as where a distribution facility is “used to transmit electric energy in interstate commerce on behalf of a wholesale purchaser pursuant to a Commission-filed OATT”⁸⁹—the Commission cannot follow that approach here. New large loads, unlike wholesale generators, typically do not engage in wholesale power transactions. The Commission’s jurisdiction is based solely on the physical interconnection to a Commission-jurisdictional transmission facility.

For a similar reason, FERC should not adopt the 20 MW threshold proposed in the DOE ANOPR Proposal. The 20 MW threshold does not appear to be tied to any particular conclusion about the interaction between the large load and the transmission system. Rather, the Commission should consider a MW threshold at a level that corresponds to likely use of or impact on the transmission system.

⁸⁸ DOE ANOPR Proposal at P 18.

⁸⁹ Order No. 2003, 104 FERC ¶ 61,103 at P 804.

B. Interconnection Studies Must be Structured to Address Transmission System Upgrades and Cannot be Used To Address Resource Adequacy Concerns

Relatedly, and in keeping with these principles, the studies involving the interconnection of new loads must focus on studying the impacts to the transmission system. As noted above, states retain jurisdiction over generation facilities.⁹⁰ With that in mind, and consistent with the Commission's jurisdiction over the transmission system—and interconnections to it—load interconnection studies must be focused on identifying the transmission system upgrades needed to facilitate the interconnection and allocating the costs of those upgrades in a manner consistent with the Commission's cost causation principles.

This approach is consistent with the Commission's treatment of all other analogous studies, including generator interconnection studies and generator deactivation studies. Interconnection processes have always been focused on the transmission facilities needed to accommodate interconnection service, while markets remain focused on aligning supply and demand. To do otherwise risks producing ill-conceived, and perhaps unlawful, policies that undermine the efficacy of the Commission's various regulatory frameworks. This principle must apply to both standalone load and to loads co-located with generating facilities, including instances in which a new load seeks to co-locate with an existing generator. An existing generating facility serving a new co-located load has the same impact on resource adequacy as the addition of a new standalone load of the same size. Moreover, to treat these loads differently would ignore the fact that, as the D.C. Circuit has explained, every user of the transmission system is economically marginal, meaning that increased demand on a system can be attributed to every load, regardless of whether

⁹⁰ *Supra* note 20.

they are existing or incremental, co-located or standalone.⁹¹ It would therefore be unduly discriminatory to apply a resource adequacy study only for the addition of behind-the-meter co-located load and not to a new standalone load.⁹² And, as noted above, the Commission cannot impose such a study in new load interconnection procedures without crossing important jurisdictional boundaries.

Using the load interconnection process to address resource adequacy issues would also place resource adequacy obligations on the wrong entity. New loads coming onto the system only create a resource adequacy issue if an LSE signs up new customers without sufficient generation resources to serve those loads. LSEs should be responsible for resolving resource adequacy issues that they have allowed to arise. Otherwise, the burden will be doled out piecemeal to new load seeking to interconnect to the grid, which will further slow the pace of infrastructure and data center development.

The consideration of resource adequacy issues in load interconnection studies may also grant LSEs a new ability to exercise undue discrimination. LSEs often have nearly unbounded discretion in producing load forecasts,⁹³ which is one of the primary tools used to assess whether a resource adequacy concern might arise. Unlike transmission system impacts, which can be

⁹¹ See *BNP Paribas Energy Trading GP v. FERC*, 743 F.3d 264, 268 (D.C. Cir. 2014) (citation omitted).

⁹² See, e.g., *Transmission Agency of N. Cal. v. FERC*, 628 F.3d 538, 551 (D.C. Cir. 2010) (explaining that the Commission cannot treat similarly situated entities differently (citing *Sacramento Mun. Util. Dist. v. FERC*, 474 F.3d 797, 802 (D.C. Cir. 2007))); *N.Y. Indep. Sys. Operator, Inc.*, 162 FERC ¶ 61,124, at P 10 (2018) (“To say that entities are similarly situated does not mean that there are no differences between them; rather, it means that there are no differences that are material to the inquiry at hand.”).

⁹³ In PJM, for instance, LSEs are allowed to use any methodology of their choice in proposing adjustments to the load forecast to account for expected large loads. PJM, Manual 19: Load Forecasting and Analysis, Revision 37, attach. B (Dec. 18, 2024), <https://www.pjm.com/-/media/DotCom/documents/manuals/m19.pdf>. There are no binding guidelines on the methodology that LSEs use or how PJM incorporates those inputs into its load forecast.

modeled and measured by independent consultants, resource adequacy projections involve a much greater level of subjectivity, which LSEs could use to preference certain projects over others.

While it is inappropriate to include resource adequacy in load interconnection studies for the reasons described above, there are a number of other actions the Commission can and should take to protect resource adequacy. For instance, as the DOE ANOPR Proposal suggested, the Commission could incentivize loads to agree to be curtailable through expedited interconnection access.⁹⁴ The Commission can also support load forecasting reforms to better understand the true extent of resource adequacy needs, as well as capacity market reforms to ensure that Commission-jurisdictional capacity markets send accurate price signals. The Commission has many tools in its toolbox to protect resource adequacy. It need not—and cannot—resort to measures that cross jurisdictional boundaries, introduce new sources of possible undue discrimination, and cast doubt on the legal durability of the rules that the Commission adopts in this proceeding.

C. The Commission Should Facilitate the Co-Location of Load and Generation at the Same Point of Interconnection

The DOE ANOPR Proposal recognizes that developing load and generation in close proximity can expedite study processes and minimize the need for costly network upgrades.⁹⁵ As noted above, the co-location of load and generation at a single point of interconnection—represents the lowest hanging fruit for the Commission to make significant progress quickly in facilitating the infrastructure needed to win the AI race.

In the near term, the Commission can facilitate co-location arrangements involving an *existing* generator without creating new study procedures. For instance, PJM’s necessary study

⁹⁴ DOE ANOPR Proposal at P 24.

⁹⁵ *See id.* P 20.

process already can be used to add behind-the-meter co-located load to existing generation facilities. Under this framework, PJM studies the arrangement to determine whether it requires changes to the interconnection facilities or triggers a need for new transmission network upgrades. The generator bears the costs of any such interconnection facilities and network upgrades,⁹⁶ thus ensuring that other customers do not bear the cost of network upgrades needed to accommodate new behind-the-meter co-located load. That framework is the fastest way to make progress in building the digital infrastructure needed to meet the moment because both the rules and the points of interconnection *already exist*.

To contrast, co-location arrangements involving *new* generators will require new tariff language to effectuate the coordinated and expedited study of new load co-located with new generation. The Commission should prioritize doing so as soon as possible because it “will allow for efficient siting of loads and generating facilities and thereby minimize the need for costly network upgrades.”⁹⁷ It is also the most promising reform that the Commission could adopt expeditiously because it can most readily draw on the Commission’s experience regulating generator interconnections. In the course of this proceeding, the Commission could consider whether those new rules should—on a prospective basis—replace existing generator modification processes that govern the co-location of new loads with existing resources. In either arrangement—whether the co-location configuration involves a new or existing generator—the Commission should apply the common-sense principles from the DOE ANOPR that promote the most efficient use of the transmission system and ensure just and reasonable rates. First, the

⁹⁶ See DOE ANOPR Proposal at P 25.

⁹⁷ *Id.* P 20.

facilities should be studied based on their withdrawal or injection rights.⁹⁸ Accurately reflecting the proposed behavior of a facility ensures the reliable interconnection of these facilities without overestimating their impact on the transmission system.⁹⁹ Second, in keeping with the cost causation principle, transmission service charges should be based on actual use of the transmission system, as measured by the facility's net load.¹⁰⁰

VI. CONCLUSION

The Commission must heed Secretary Wright's call to action and use this proceeding—and this moment—to provide regulatory certainty and clear rules to govern how large loads interconnect to the interstate transmission system. Doing so is critical for national security, national prosperity, and the fulfillment of the Commission's responsibilities under the Federal Power Act. We urge the Commission to follow the roadmap provided above to unlock investment in the infrastructure needed to power the AI revolution. The Commission can and must immediately alleviate regulatory uncertainty and create durable rules that will govern the next generation of investments in the nation's electrical and digital infrastructure.

[Signatures on next page]

⁹⁸ See DOE ANOPR Proposal at PP 22-23.

⁹⁹ See Order No. 2023, 184 FERC ¶ 61,054 at PP 1510-1511.

¹⁰⁰ See DOE ANOPR Proposal at PP 22, 28; *see also* PJM Interconnection, L.L.C., 107 FERC ¶ 61,113, at P 28 (2004) (citing *Occidental Chem. Corp. v. PJM Interconnection, L.L.C.*, 102 FERC ¶ 61,275, at P 14 (2003)).

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document upon each person designated on the official service lists compiled by the Secretary of the Commission in these proceedings.

Dated: November 21, 2025

Washington, D.C.

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